

The October 2023 Senior Loan Officer Opinion Survey on Bank Lending Practices

The October 2023 Senior Loan Officer Opinion Survey on Bank Lending Practices (SLOOS) addressed changes in the standards and terms on, and demand for, bank loans to businesses and households over the past three months, which generally correspond to the third quarter of 2023.¹

Regarding loans to businesses, survey respondents, on balance, reported tighter standards and weaker demand for commercial and industrial (C&I) loans to firms of all sizes over the third quarter.² Furthermore, banks reported tighter standards and weaker demand for all commercial real estate (CRE) loan categories.

For loans to households, banks reported that lending standards tightened across all categories of residential real estate (RRE) loans other than government residential mortgages, for which standards remained basically unchanged. Meanwhile, demand weakened for all RRE loan categories. In addition, banks reported tighter standards and weaker demand for home equity lines of credit (HELOCs). Moreover, for credit card, auto, and other consumer loans, standards reportedly tightened, and demand weakened on balance.

The October SLOOS included a set of special questions that asked banks to assess the likelihood of approving credit card and auto loan applications by borrower FICO score (or equivalent) in comparison with the beginning of the year. Banks reported that they were less likely to approve such loans for borrowers with FICO scores of 620 and 680 in comparison with the beginning of the year, while they were more likely to approve credit card loan applications and about as likely to approve auto loan applications for borrowers with FICO scores of 720 over this same period.

The October SLOOS also included a set of special questions that inquired about banks' reasons for changing standards for all loan categories in the third quarter of 2023. Banks most frequently cited a less favorable or more uncertain economic outlook; reduced tolerance for risk; deterioration in the credit quality of loans and collateral values; and concerns about funding costs as important reasons for tightening lending standards over the third quarter.

Lending to Businesses

(Table 1, questions 1–12; table 2, questions 1–8)

Questions on commercial and industrial lending. Over the third quarter, significant net shares of banks reported having tightened standards on C&I loans to firms of all sizes.³ Banks also

¹ Responses were received from 62 domestic banks and 19 U.S. branches and agencies of foreign banks. Respondent banks received the survey on September 25, 2023, and responses were due by October 5, 2023. Unless otherwise indicated, this summary refers to the responses of domestic banks.

² Large and middle-market firms are defined as firms with annual sales of \$50 million or more, and small firms are those with annual sales of less than \$50 million.

³ For questions that ask about lending standards or terms, “net fraction” (or “net percentage”) refers to the fraction of banks that reported having tightened (“tightened considerably” or “tightened somewhat”) minus the

reported having tightened all queried terms on C&I loans to firms of all sizes over the third quarter.⁴ Tightening was most widely reported for premiums charged on riskier loans, spreads of loan rates over the cost of funds, and costs of credit lines, while significant or moderate net shares of banks reported tightening all other terms on C&I loans to firms of all sizes.⁵ By bank size categories, tightening of C&I lending standards and terms was less widely reported by large banks than by other banks, as slightly higher net fractions of other banks reported tightening standards and all terms.⁶ Meanwhile, moderate net shares of foreign banks reported tightening standards on C&I loans and C&I loan terms, such as spreads of loan rates over the cost of funds, costs of credit lines, loan covenants, and premiums charged on riskier loans.

Major net shares of banks that reported having tightened standards or terms on C&I loans cited a less favorable or more uncertain economic outlook, a reduced tolerance for risk, and less aggressive competition from banks or nonbank lenders as important reasons for doing so. Significant net shares of banks also cited increased concerns about the effects of legislative changes, supervisory actions, or changes in accounting standards; the worsening of industry-specific problems; decreased liquidity in the secondary market for C&I loans; and deterioration in their current or expected liquidity or capital positions as important reasons for tightening lending standards and terms over the third quarter.

Regarding demand for C&I loans over the third quarter, significant net shares of banks reported weaker demand for loans from firms of all sizes. Furthermore, a significant net share of banks reported a decrease in the number of inquiries from potential borrowers regarding the availability and terms of new credit lines or increases in existing lines. A moderate net share of foreign banks reported stronger demand for C&I loans over the third quarter.

fraction of banks that reported having eased (“eased considerably” or “eased somewhat”). For questions that ask about loan demand, this term refers to the fraction of banks that reported stronger demand (“substantially stronger” or “moderately stronger”) minus the fraction of banks that reported weaker demand (“substantially weaker” or “moderately weaker”). For this summary, when standards, terms, or demand are said to have “remained basically unchanged,” the net percentage of respondent banks that reported either tightening or easing of standards or terms, or stronger or weaker demand, is greater than or equal to 0 and less than or equal to 5 percent; “modest” refers to net percentages greater than 5 and less than or equal to 10 percent; “moderate” refers to net percentages greater than 10 and less than or equal to 20 percent; “significant” refers to net percentages greater than 20 and less than 50 percent; and “major” refers to net percentages greater than or equal to 50 percent.

⁴ Lending standards characterize banks’ policies for approving applications for a certain loan category. Conditional on approving loan applications, lending terms describe banks’ conditions included in loan contracts, such as those listed for C&I loans under question 2 to both domestic and foreign banks and those listed for credit card, auto, and other consumer loans under questions 21–23 to domestic banks. Thus, standards reflect the extensive margin of lending, while terms reflect the intensive margin of lending. The eight lending terms that banks are asked to consider with respect to C&I loans are the maximum size of credit lines, maximum maturity of loans or credit lines, costs of credit lines, spreads of loan rates over the bank’s cost of funds, premiums charged on riskier loans, loan covenants, collateralization requirements, and use of interest rate floors.

⁵ Banks were asked about the costs, maximum size, and maximum maturity of credit lines; spreads of loan rates over the bank’s cost of funds; premiums charged on riskier loans; terms on loan covenants; collateralization requirements; and the use of interest rate floors.

⁶ Large banks are defined as those with total domestic assets of \$100 billion or more as of June 30, 2023. This size definition is a departure from previous surveys, which defined large banks as those with total domestic assets of \$50 billion or more.

Of the banks reporting weaker demand for C&I loans, major net shares cited decreased customer investment in plant or equipment; decreased financing needs for inventories, accounts receivable, and mergers or acquisitions; and lower precautionary demand for cash and liquidity as important reasons for the weaker loan demand.

Questions on commercial real estate lending. Over the third quarter, major net shares of banks reported tightening standards for all types of CRE loans. Such tightening was more widely reported by other banks than by large banks. Major net shares of banks reported weaker demand for all CRE loan categories, which was more widely reported by large banks than by other banks. Furthermore, a significant net share of foreign banks reported tighter standards for CRE loans, while a moderate net share of foreign banks reported weaker demand for such loans.

Lending to Households

(Table 1, questions 13–26)

Questions on residential real estate lending. Over the third quarter, banks reported having tightened lending standards for all categories of RRE loans and HELOCs, except government residential mortgages, for which standards remained basically unchanged.⁷ Significant net shares of banks reported tightening standards for qualified mortgage (QM) jumbo residential mortgages, non-QM residential mortgages, and HELOCs, while moderate net shares reported tighter standards on QM non-jumbo non-government-sponsored enterprise (GSE)-eligible residential mortgages and subprime residential mortgages. A modest net share of banks reported tightening standards for GSE-eligible mortgages, and standards for government residential mortgages remained basically unchanged.

Major net shares of banks reported weaker demand for most RRE loans over the third quarter, while significant net shares of banks reported weaker demand for government residential mortgages and HELOCs.

Questions on consumer lending. Over the third quarter, significant net shares of banks reported tightening lending standards for credit card and other consumer loans, while a moderate net share of banks reported tighter standards for auto loans. Banks also reported tightening most queried

⁷ The seven categories of residential home-purchase loans that banks are asked to consider are GSE-eligible, government, QM non-jumbo non-GSE-eligible, QM jumbo, non-QM jumbo, non-QM non-jumbo, and subprime. See the survey results tables that follow this summary for a description of each of these loan categories. The definition of a QM was introduced in the 2013 Mortgage Rules under the Truth in Lending Act (12 C.F.R. pt. 1026.32, Regulation Z). The standard for a QM excludes mortgages with loan characteristics such as negative amortization, balloon and interest-only payment schedules, terms exceeding 30 years, alt-A or no documentation, and total points and fees that exceed 3 percent of the loan amount. In addition, a QM requires that the monthly debt-to-income ratio of borrowers not exceed 43 percent. For more on the ability to repay and QM standards under Regulation Z, see Consumer Financial Protection Bureau (2019), “Ability to Repay and Qualified Mortgage Standards Under the Truth in Lending Act (Regulation Z),” webpage, <https://www.consumerfinance.gov/regulations/ability-to-repay-and-qualified-mortgage-standards-under-the-truth-in-lending-act-regulation-z>.

terms on credit card loans. Specifically, significant net shares of banks reported tightening both credit limits and the extent to which loans are granted to some customers that do not meet credit scoring thresholds, while moderate net shares of banks reported higher minimum required credit scores and wider interest rate spreads over the cost of funds. Similarly, banks reported tightening most queried terms on auto loans on net. In particular, a significant net share of banks reported wider interest rate spreads on such loans; a moderate net share reported tightening the extent to which loans are granted to some customers that do not meet credit scoring thresholds; and a modest net share reported higher minimum credit score requirements. For other consumer loans, significant net shares of banks reported widening interest rate spreads over the cost of funds, tightening the extent to which loans are granted to borrowers not meeting credit score criteria, and higher minimum credit score requirements. A modest net share of banks reported higher minimum payment amounts on outstanding balances. The remaining terms and conditions for each type of consumer loan remained basically unchanged.⁸

Regarding demand for consumer loans, significant net shares of banks reported weaker demand for auto and other consumer loans, while a modest net share of banks reported weaker demand for credit card loans.

Special Questions on Banks' Credit Card and Auto Lending Policies

(Table 1, questions 28–29)

In a set of special questions, banks were asked to assess the likelihood of approving credit card and auto loan applications by borrower FICO score (or equivalent) in comparison with the beginning of the year. Significant net shares of banks reported that they were less likely to approve both credit card and auto loan applications from borrowers with FICO scores of 620. Moderate and significant net shares of banks reported that they were less likely to approve credit card loan applications and auto loan applications, respectively, from borrowers with FICO scores of 680. In contrast, a modest net share of banks reported being more likely to approve credit card applications from borrowers with FICO scores of 720, while the likelihood of approving auto loan applications to borrowers with FICO scores of 720 was basically unchanged in comparison with the beginning of the year.

Special Question on Banks' Reasons for Changing Standards over 2023:Q3

(Table 1, question 27; table 2, question 9)

In a set of special questions, the October SLOOS asked about banks' reasons for changing standards or terms for loans across all loan categories over the third quarter. The most frequently cited reasons for tightening standards, reported by major net shares of banks, were a less favorable or more uncertain economic outlook; a reduced tolerance for risk; a deterioration in the credit quality of loans; concerns about funding costs; a deterioration of customer collateral

⁸ Banks were asked about the minimum required credit score as well as changes in credit limits (credit card accounts and other consumer loans only), maximum maturity (auto loans only), loan rate spreads over costs of funds, the minimum percent of outstanding balances required to be repaid each month, and the extent to which loans are granted to borrowers not meeting credit score criteria.

values; concerns about the adverse effects of legislative changes, supervisory actions, or changes in accounting standards; concerns about deposit outflows; and a deterioration in or desire to improve their liquidity positions.

Among the banks that reported easing lending standards over the third quarter, the most frequently cited reasons were an improvement in the credit quality of loans and a more favorable or less uncertain economic outlook.

In comparison to large banks, other banks more frequently cited concerns about deposit outflows, funding costs, deterioration in or desire to improve their liquidity positions, and concerns about declines in the market value of fixed-income assets as reasons for tightening lending standards.

For foreign banks, major shares reported that a less favorable or more uncertain economic outlook; a deterioration in customers' collateral values; a reduced tolerance for risk; a deterioration in the credit quality of loans; and a reduction in the ease of selling loans in the secondary market were important reasons for tightening lending standards over the third quarter.

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